

Yearly position, performance. Where in the yearly price range do the best performing flags reside? Those patterns with breakouts within a third of the yearly high tend to perform best in both bull and bear markets. Avoid flags with breakouts in the middle third of the yearly high–low range.

Throwbacks. Throwbacks occur over two-thirds of the time and take between 11 and 12 days, on average, to return to the breakout price. When a throwback occurs, performance suffers (which is typical for many other chart pattern types, too).

After a throwback completes, price resumes rising between 39% and 52% of the time. Those results don't exactly inspire confidence that price will make a determined push higher.

Gaps. A gap that appears on the day of breakout helps performance. In bull markets, the extra push is only one percentage point, but in bear markets, the performance difference is wider: four percentage points. Because I tabulate performance using the opening price the day *after* a gap appears, you can participate in the performance by buying the stock after the gap.

[Table 35.5](#) shows pattern size statistics.

Height. There's not a substantial performance difference between short or tall flag patterns. Height, in this case, does *not* include the flagpole. It's just a measure of the high–low range of the flag.

Width. Width measures from the start of the flagpole (the trend start) to the end of the flag. In both markets, wide patterns do better than short ones. I used the median length as the separator between narrow and wide.

Height and width combinations. I looked at the combinations of height and width and found no consistent trend from bull to bear markets except that tall and narrow patterns performed worst. You'll want to avoid those.

[Table 35.6](#) shows volume-related statistics.

Volume trend. Volume trends downward most often (more than 80% of the time). That's probably because volume tends to spike during the creation of the flagpole and diminishes in the flag.

Rising/Falling volume, breakout day volume. Again, there's no consistent performance difference between bull and bear markets. However, the performance differences per market can be wide enough that you'll want to